

14 Sep 2026 10:42:34 ET | 12 pages

SK Hynix (000660.KS)

Model Update

CITI'S TAKE

We revise our SK Hynix model to incorporate the expected impact of AI continual learning. Accordingly, we lift 27E/28E OP estimates by 4%/8% to W369.7tr/W435.9tr from W355.1tr/402.9tr, respectively. Despite concerns over memory de-spec and AI safety, we expect continual learning to fuel memory demand across multiple segments, including HBM, server DRAM, and eSSDs, further tightening memory supply-demand balance through 2028E. Given the structural growth outlook for the memory market, we reiterate our Buy rating on SK Hynix

Buy

Price (14 Sep 26 15:45)	W1,697,000
Target price	W3,000,000
Expected share price return	76.8%
Expected dividend yield	0.8%
Expected total return	77.6%
Market Cap	W1,239,645,543M US\$924,016M

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Earnings Summary

Year to	Net Profit	Diluted EPS	EPS growth	P/E	P/B	ROE	Yield
31 Dec	(₩B)	(₩)	(%)	(x)	(x)	(%)	(%)
2024A	19,789	27,182	314.9	62.4	16.9	31.3	0.1
2025A	42,919	58,955	116.9	28.8	10.8	45.7	0.2
2026E	253,948	348,829	491.7	4.9	3.4	105.6	0.8
2027E	279,756	384,279	10.2	4.4	1.9	55.8	0.9
2028E	330,112	453,449	18.0	3.7	1.3	41.5	1.0

Source: Powered by dataCentral

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

000660.KS: Fiscal year end 31-Dec						Price: W1,697,000; TP: W3,000,000; Market Cap: W1,239,645,543m; Recomm: Buy					
Profit & Loss (Wb)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	66,193	97,147	330,176	477,581	587,509	PE (x)	62.4	28.8	4.9	4.4	3.7
Cost of sales	-34,365	-38,456	-53,598	-80,966	-120,457	PB (x)	16.9	10.8	3.4	1.9	1.3
Gross profit	31,828	58,691	276,578	396,615	467,052	EV/EBITDA (x)	34.0	20.0	4.2	2.5	1.7
Gross Margin (%)	48.1	60.4	83.8	83.0	79.5	FCF yield (%)	1.0	2.1	14.6	16.7	18.5
EBITDA (Adj)	36,601	61,774	270,487	387,512	455,498	Dividend yield (%)	0.1	0.2	0.8	0.9	1.0
EBITDA Margin (Adj) (%)	55.3	63.6	81.9	81.1	77.5	Payout ratio (%)	8	5	4	4	4
Depreciation	-12,582	-14,015	-15,710	-17,281	-19,009	ROE (%)	31.3	45.7	105.6	55.8	41.5
Amortisation	-553	-553	-553	-553	-553	Cashflow (Wb)	2024	2025	2026E	2027E	2028E
EBIT (Adj)	23,467	47,206	254,224	369,678	435,936	EBITDA	36,601	61,774	270,487	387,512	455,498
EBIT Margin (Adj) (%)	35.5	48.6	77.0	77.4	74.2	Working capital	-4,910	-3,771	-41,087	-20,367	-10,268
Net interest	-1,000	-429	-578	-1,000	-1,000	Other	-3,070	-4,258	-157	-89,922	-105,824
Associates	-38	-565	-10	22	22	Operating cashflow	28,621	53,744	229,243	277,223	339,406
Non-Op/Except/Other Adj	1,457	4,253	76,271	-600	-600	Capex	-15,946	-27,519	-49,100	-71,000	-111,400
Pre-tax profit	23,885	50,466	329,907	368,100	434,358	Net acq/disposals	0	0	0	0	0
Tax	-4,088	-7,518	-75,840	-88,344	-104,246	Other	-2,059	-20,535	0	0	0
Extraord./Min.Int./Pref.div.	-8	-29	-119	0	0	Investing cashflow	-18,005	-48,054	-49,100	-71,000	-111,400
Reported net profit	19,789	42,919	253,948	279,756	330,112	Dividends paid	-826	-1,426	-2,071	-9,579	-10,850
Net Margin (%)	29.9	44.2	76.9	58.6	56.2	Financing cashflow	-526	-1,126	-671	-9,279	-10,550
Core NPAT	19,789	42,919	253,948	279,756	330,112	Net change in cash	10,090	4,564	179,472	196,943	217,456
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	12,675	26,225	180,143	206,223	228,006
Reported EPS (W)	27,182	58,955	348,829	384,279	453,449						
Core EPS (W)	27,182	58,955	348,829	384,279	453,449						
DPS (W)	2,070	2,999	13,564	15,364	16,860						
CFPS (W)	39,314	73,824	314,893	380,799	466,216						
FCFPS (W)	17,411	36,023	247,448	283,272	313,195						
BVPS (W)	100,367	157,362	503,347	874,468	1,313,013						
Wtd avg ord shares (m)	728	728	728	728	728						
Wtd avg diluted shares (m)	728	728	728	728	728						
Growth rates	2024	2025	2026E	2027E	2028E						
Sales revenue (%)	105.9	46.8	239.9	44.6	23.0						
EBIT (Adj) (%)	399.9	101.2	438.5	45.4	17.9						
Core NPAT (%)	314.9	116.9	491.7	10.2	18.0						
Core EPS (%)	314.9	116.9	491.7	10.2	18.0						
Balance Sheet (Wb)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	19,007	23,538	202,891	399,834	617,291						
Accounts receivables	12,232	16,157	49,421	64,336	71,231						
Inventory	12,722	12,813	16,072	21,851	29,257						
Net fixed & other tangibles	56,069	69,573	102,963	156,682	249,072						
Goodwill & intangibles	5,977	25,964	25,412	24,859	24,307						
Financial & other assets	13,346	14,616	22,828	26,511	28,213						
Total assets	119,352	162,660	419,587	694,073	1,019,370						
Accounts payable	2,129	2,620	4,017	6,675	10,924						
Short-term debt	9,757	9,657	9,557	9,457	9,357						
Long-term debt	20,011	20,411	21,911	22,311	22,711						
Provisions & other liab	14,388	15,412	17,664	19,015	20,501						
Total liabilities	46,286	48,101	53,150	57,459	63,494						
Shareholders' equity	73,067	114,560	366,438	636,615	955,877						
Minority interests	-1	-1	-1	-1	-1						
Total equity	73,067	114,560	366,437	636,614	955,876						
Net debt (Adj)	10,761	6,531	-171,422	-368,066	-585,222						
Net debt to equity (Adj) (%)	14.7	5.7	-46.8	-57.8	-61.2						

For definitions of the items in this table, please click [here](#).

SK Hynix

Valuation

Our 12-month target price for SK Hynix of W3,000,000 is derived using a sum-of-the-parts (SOTP) methodology, based on 2026E EBITDA. In calculating total operating value, we break down SK Hynix's operating businesses into HBM and commodity/others business to reflect a structural change in next-gen memory market. We reference a global peer (TSMC) in assigning a fair-value EV/EBITDA multiple for HBM business, as we project the memory market is evolving from a traditional commodity market into a highly customized & customer-specific market much closer to the foundry business. For commodity memory business, we apply a historical average of 12m fwd EV/EBITDA during the beginning or early stage of memory upcycles in the past. We apply 8.6x EV/EBITDA to HBM segment and 7.4x to commodity segment to derive the target price.

Risks

Downside risks that could prevent the shares from reaching our target price include: 1) a downturn in DRAM demand; 2) weaker NAND demand than our forecasts; and 3) weakness in global consumption.

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Appendix A-1

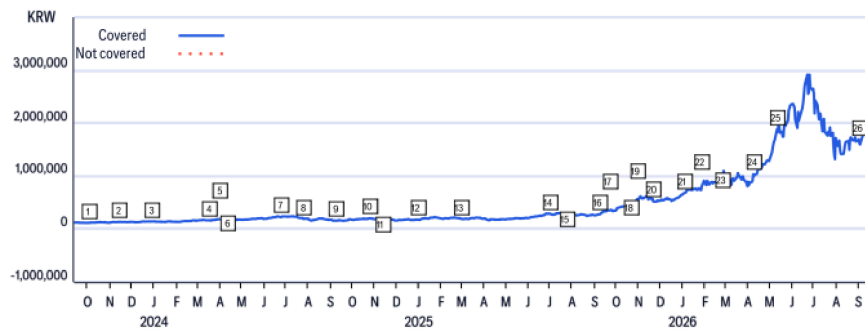
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IMPORTANT DISCLOSURES

SK Hynix (000660.KS)
Ratings and Target Price History
Fundamental Research

Analyst: Peter Lee



Date	Rating	Target Price	Closing Price
1 04-Oct-23 06:14:16	1	*185,000.00	115,400.00
2 13-Nov-23 09:52:50	1	*190,000.00	131,800.00
3 01-Jan-24 18:20:58	1	*230,000.00	141,500.00
4 18-Mar-24 10:47:11	1	*234,000.00	164,300.00
5 01-Apr-24 10:34:31	1	*238,000.00	185,500.00
6 12-Apr-24 08:17:40	1	*310,000.00	187,400.00
7 25-Jun-24 06:27:18	1	*350,000.00	225,000.00
8 25-Jul-24 03:44:27	1	*337,000.00	190,000.00
9 09-Sep-24 02:31:32	1	*310,000.00	157,000.00

Date	Rating	Target Price	Closing Price
10 24-Oct-24 06:29:30	1	*330,000.00	198,200.00
11 12-Nov-24 10:31:16	1	*350,000.00	185,800.00
12 31-Dec-24 06:45:21	1	*340,000.00	173,900.00
13 03-Mar-25 15:00:11	1	*350,000.00	190,200.00
14 01-Jul-25 03:45:10	1	*430,000.00	285,500.00
15 24-Jul-25 04:40:40	1	*380,000.00	269,500.00
16 08-Sep-25 10:00:23	1	*430,000.00	277,000.00
17 22-Sep-25 06:19:28	1	*480,000.00	351,000.00
18 20-Oct-25 04:22:50	1	*640,000.00	485,500.00

Date	Rating	Target Price	Closing Price
19 29-Oct-25 02:38:54	1	*770,000.00	558,000.00
20 23-Nov-25 10:20:04	1	*830,000.00	521,000.00
21 02-Jan-26 03:22:42	1	*900,000.00	677,000.00
22 26-Jan-26 07:57:46	1	*1,400,000.00	736,000.00
23 24-Feb-26 08:08:02	1	*1,550,000.00	1,005,000.00
24 08-Apr-26 07:47:52	1	*1,700,000.00	1,033,000.00
25 11-May-26 07:42:14	1	*3,100,000.00	1,880,000.00
26 01-Sep-26 04:40:27	1	*3,000,000.00	1,693,000.00

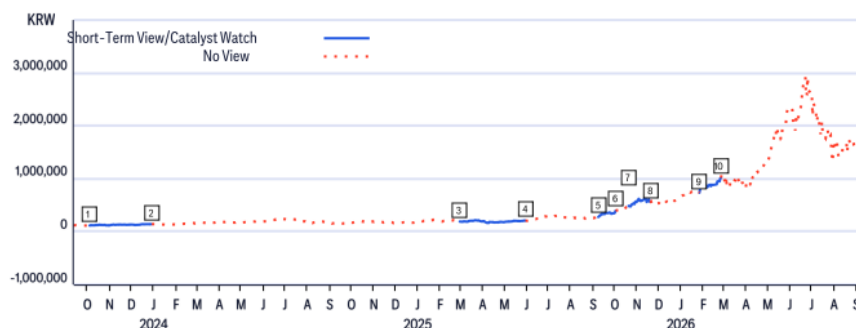
*Indicates Change

Rating/target price changes above reflect Eastern Time

SK Hynix (000660.KS)

Short-Term View/Catalyst Watch Research

Analyst: Peter Lee



	Date	Action	Expected Direction	Duration	Closing Price
1	04-Oct-23 02:14:16	Add CW	Upside	90 Days	115,400.00
2	01-Jan-24 21:19:41	Remove CW	Upside	90 Days	141,500.00
3	03-Mar-25 10:00:11	Add CW	Upside	90 Days	190,200.00
4	01-Jun-25 22:55:32	Remove CW	Upside	90 Days	204,500.00
5	08-Sep-25 06:00:23	Add CW	Upside	30 Days	277,000.00
6	08-Oct-25 22:50:00	Remove CW	Upside	30 Days	395,500.00
7	20-Oct-25 00:22:50	Add CW	Upside	30 Days	485,500.00
8	19-Nov-25 21:15:03	Remove CW	Upside	30 Days	562,000.00
9	26-Jan-26 02:57:46	Add CW	Upside	30 Days	736,000.00
10	25-Feb-26 20:57:35	Remove CW	Upside	30 Days	1,018,000.00

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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12 Month Rating

Catalyst Watch

Data current as of 01 Jul 2026

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